Personal Finance A–Z Glossary

Every term from The Complete Personal Finance Guide, alphabetized — 273 terms across 13 areas.

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How to read it

Each entry shows the term, a colored tag for the area it belongs to, and a plain-language definition. Figures marked 2026 (contribution limits, brackets, deductions) change yearly; confirm on IRS.gov, SBA.gov, FDIC.gov or the source listed in the full guide before posting.

Tag	Area	Terms
BUDGETING	Budgeting & cash flow	18
BANKING	Banking & accounts	22
CREDIT	Credit & credit scores	24
DEBT	Debt & loans	26
SAVING	Saving & emergency funds	9
INVESTING	Investing basics	23
RETIREMENT	Retirement accounts	19
TAXES	Taxes	20
INSURANCE	Insurance & risk	20
HOUSING	Housing & big purchases	21
PLANNING	Net worth, goals & planning	17
PROTECTION	Consumer protection & fraud	20
BUSINESS	Side income & small business	34

Jump to a letter

· A · B · C · D · E · F · G · H · I · L · M · N · O · P · R · S · T · U · V · W · Z

0–9

1099 forms (NEC, K, INT, DIV) TAXES
Forms reporting freelance, payment-app, interest and dividend income. Freelancers usually owe tax on it themselves.

15-year vs 30-year mortgage HOUSING
Shorter term: higher monthly payment, far less total interest.

20/4/10 car rule HOUSING
Rule of thumb: 20% down, a loan of 4 years or less, total car costs under 10% of gross income.

24-hour rule BUDGETING
Wait a day before any non-essential purchase to let the impulse fade.

30% housing rule HOUSING
Common guide: keep housing costs near 30% of gross income.

4% rule RETIREMENT
Rule of thumb: withdrawing about 4% in year one, adjusted for inflation, has historically lasted 30 years. A guide, not a guarantee.

401(k) / 403(b) / 457(b) RETIREMENT
Employer retirement plans funded from your paycheck. 403(b) is for nonprofits and schools; 457(b) for government workers. 2026 employee limit: $24,500.

50/30/20 rule BUDGETING
50% of take-home pay to needs, 30% to wants, 20% to savings and debt payoff. A starting template, not a law.

529 plan PLANNING
Tax-advantaged education savings account.

A

Account takeover PROTECTION
A criminal gains access to one of your existing accounts.

Accounts receivable / payable BUSINESS
Money customers owe you / money you owe suppliers.

ACH transfer BANKING
Standard electronic bank-to-bank transfer, usually 1 to 3 business days.

AGI (adjusted gross income) TAXES
Gross income minus certain adjustments (e.g., traditional IRA and HSA contributions). Many limits key off it.

Amortization DEBT
A payment schedule where each payment covers interest first, then principal; the principal share grows over time.

Amounts owed (30%) CREDIT
Second-largest FICO factor; mostly how much of your available revolving credit you use.

Appreciating vs depreciating assets PLANNING
Tend to gain value (investments, often homes) vs lose value (cars, electronics).

APR (annual percentage rate) BANKING
Yearly cost of borrowing, including some fees. Compare loans and credit cards by APR.

APY (annual percentage yield) BANKING
What a deposit earns in a year including compounding. Compare savings accounts by APY.

Asset allocation INVESTING
Your mix of stocks, bonds and cash, based on goals, timeline and risk tolerance.

Assets PLANNING
What you own with value: cash, investments, retirement accounts, home, car.

Authorized user CREDIT
Being added to someone else's card; their history may help your credit file.

Auto liability coverage INSURANCE
Pays for damage and injuries you cause to others; required in most states.

Auto loan vs lease HOUSING
Borrowing to buy a car vs paying to use one for a set term with mileage limits.

Automation BUDGETING
Scheduled transfers on payday for savings and extra debt payments; removes willpower from the system.

B

Balance sheet BUSINESS
Business assets, liabilities and owner's equity at a point in time.

Balance transfer DEBT
Moving card debt to a new card with a low intro rate; usually costs a 3% to 5% fee.

Bank vs credit union BANKING
Banks are for-profit and owned by shareholders; credit unions are member-owned nonprofits and often charge lower fees.

Bankruptcy (Chapter 7 / Chapter 13) DEBT
Legal process to eliminate (Ch. 7) or restructure (Ch. 13) debts; stays on credit reports 7 to 10 years.

Beneficiary INSURANCE
The person who receives an insurance payout or inherits an account. Keep it updated.

Beneficiary designation PLANNING
Names who inherits a specific account; overrides your will for that account.

Bond (fixed income) INVESTING
A loan to a government or company that pays interest. Usually steadier than stocks.

Break-even point BUSINESS
Sales level where revenue covers all costs.

Brokerage account INVESTING
A taxable account for buying investments; no contribution limit.

Bull market / bear market INVESTING
A rising market vs a falling market (usually a drop of 20% or more).

Business bank account BUSINESS
Separate account for all business income and expenses; simplifies taxes and protects an LLC's liability shield.

Business credit BUSINESS
Credit file tied to your EIN (Dun & Bradstreet, Experian Business, Equifax Business).

Business expense deduction BUSINESS
Ordinary and necessary costs (software, equipment, home office) that reduce taxable profit. Keep receipts.

Buy now, pay later (BNPL) DEBT
Splitting a purchase into installments; easy to stack and lose track of.

C

C corporation BUSINESS
Separate taxpaying entity; common for startups raising investor money.

Capital gain / loss INVESTING
Profit or loss when you sell an asset for more or less than you paid.

Capital gains tax (short / long-term) TAXES
Profit on assets held 1 year or less is taxed as ordinary income; held over 1 year gets lower 0%, 15% or 20% rates.

Cash equivalents INVESTING
Money market funds, Treasury bills and CDs: low risk, low return.

Cash flow BUDGETING
Income minus expenses over a period. Positive = surplus; negative = deficit.

Cash flow statement BUSINESS
Shows cash in and out over a period; the business version of a budget.

Catch-up contribution RETIREMENT
Extra retirement contributions for age 50+: +$8,000 in a 401(k) and +$1,100 in an IRA for 2026; ages 60 to 63 get a higher 401(k) catch-up of $11,250.

CD ladder BANKING
Splitting savings across CDs with staggered maturity dates so some money unlocks regularly.

Certificate of deposit (CD) BANKING
You lock money for a set term (3 months to 5 years) for a fixed rate; early withdrawal costs a penalty. Credit unions call these share certificates.

CFP (Certified Financial Planner) PLANNING
A credentialed financial planner; ask whether they are a fee-only fiduciary.

CFPB (Consumer Financial Protection Bureau) PROTECTION
Federal agency that takes complaints about banks, lenders, credit bureaus and debt collectors; companies must respond. Still operating in 2026 with reduced staff and a contested mandate. consumerfinance.gov/complaint

Charge-off CREDIT
Lender writes off a debt as a loss after months of non-payment; you still owe it.

Chargeback PROTECTION
A card dispute that reverses a charge for fraud or undelivered goods.

Checking account BANKING
Everyday account for deposits, debit card, bill pay and transfers. Usually pays little or no interest.

Claim INSURANCE
Your formal request for the insurer to pay.

Closing costs HOUSING
Fees to finalize a purchase or refinance, often 2% to 5% of the loan.

Coinsurance INSURANCE
Your percentage share of costs after the deductible (e.g., 20%).

Collateral BUSINESS
Assets pledged to secure a loan.

Collections CREDIT
An unpaid debt sold or assigned to a collection agency; hurts your score.

Collision / comprehensive coverage INSURANCE
Covers your own car in a crash (collision) or for theft, weather and animals (comprehensive).

Commingling BUSINESS
Mixing personal and business money; a bookkeeping and legal risk.

Compound growth INVESTING
Returns earning their own returns; the longer it runs, the bigger the effect.

Compound interest BANKING
Earning interest on past interest; the reason savings and debt both snowball over time.

Conventional / FHA / VA / USDA loans HOUSING
A standard private mortgage, and government-backed loans with lower down payments for qualifying borrowers, veterans or rural buyers.

Copay INSURANCE
Flat fee for a service (e.g., $30 per doctor visit).

Credit bureaus CREDIT
Equifax, Experian and TransUnion: the three agencies that compile credit reports.

Credit freeze CREDIT
Free block on new accounts being opened in your name; set separately at all three bureaus.

Credit limit CREDIT
The maximum you can borrow on a card or line of credit.

Credit mix (10%) CREDIT
FICO factor rewarding a history with both revolving and installment accounts.

Credit report CREDIT
Record of your accounts, balances, payment history and public records. Free weekly at AnnualCreditReport.com.

Credit score CREDIT
A number (most FICO scores run 300 to 850) that predicts how likely you are to repay borrowed money.

Credit utilization CREDIT
Card balances divided by card limits. Lower is better; many experts suggest under 30%, and under 10% for top scores.

D

DBA (doing business as) BUSINESS
Registering a trade name different from your legal name.

Debt avalanche DEBT
Pay minimums on everything, then send every extra dollar to the highest interest rate first. Wins on math (least total interest).

Debt consolidation DEBT
Combining several debts into one loan, ideally at a lower rate.

Debt list DEBT
One page listing every debt's balance, minimum payment and interest rate. The first real step in any payoff plan.

Debt settlement DEBT
Negotiating to pay less than owed; damages credit and forgiven amounts may be taxable.

Debt snowball DEBT
Pay minimums on everything, then send every extra dollar to the smallest balance first. Wins on motivation (fast wins).

Debt-to-income ratio (DTI) DEBT
Monthly debt payments divided by gross monthly income. Lenders use it to judge what you can afford.

Deductible INSURANCE
What you pay out of pocket before insurance pays. Higher deductible = lower premium.

Deduction vs credit TAXES
A deduction lowers taxable income; a credit lowers the tax bill dollar for dollar. Credits are worth more.

Default DEBT
Failing to repay as agreed; leads to collections and credit damage.

Deferment / forbearance DEBT
Temporarily pausing loan payments, often while interest keeps growing.

Depreciation HOUSING
Loss of value over time; new cars lose value fastest in the first years.

Direct deposit BANKING
Paycheck sent straight to your account; often waives monthly fees.

Disability insurance INSURANCE
Replaces part of your income if illness or injury stops you working.

Discretionary spending BUDGETING
Wants you could cut without hurting housing, food, transport or health.

Diversification INVESTING
Spreading money across many investments so one loss does not sink you.

Dividend INVESTING
A share of company profits paid to shareholders.

Dollar-cost averaging INVESTING
Investing a fixed amount on a schedule regardless of price.

Down payment HOUSING
Upfront cash toward a home's price; 20% avoids PMI on conventional loans.

E

Early withdrawal penalty RETIREMENT
Usually 10% plus income tax on retirement withdrawals before age 59 1/2, with some exceptions.

Effective tax rate TAXES
Total tax divided by total income; always lower than your marginal rate.

EIN (employer identification number) BUSINESS
Free IRS tax ID for a business; lets you open accounts and hire without using your SSN.

Electronic Fund Transfer Act (Reg E) PROTECTION
Limits your liability for unauthorized debit and electronic transfers if reported quickly.

Employer match RETIREMENT
Free money your employer adds when you contribute, e.g., 50% of up to 6% of pay. Contribute at least enough to get all of it.

Envelope method (cash stuffing) BUDGETING
Put a fixed amount per category in physical or digital envelopes; when an envelope is empty, spending in that category stops.

Equity financing BUSINESS
Selling ownership in a business for investment money.

Escrow HOUSING
Account your lender uses to pay property taxes and insurance on your behalf.

Essential expenses SAVING
What you would still have to pay if you lost income tomorrow: rent, food, utilities, insurance, minimum payments.

Estimated taxes TAXES
Quarterly payments self-employed people make; deadlines in April, June, September and January.

ETF (exchange-traded fund) INVESTING
A fund that trades like a stock throughout the day; many track indexes.

Expense ratio INVESTING
Yearly fund fee as a percentage of your investment. 0.05% costs $5 per $10,000 per year.

F

Fair Credit Reporting Act (FCRA) PROTECTION
Your right to accurate credit reports and to dispute errors.

Fair Debt Collection Practices Act (FDCPA) PROTECTION
Limits harassment and deception by debt collectors.

FDIC insurance BANKING
Federal Deposit Insurance Corporation protection if a bank fails: $250,000 per depositor, per bank, per ownership category. Covers checking, savings, money market deposit accounts and CDs; not stocks, bonds, mutual funds, crypto or annuities.

FICA TAXES
Social Security (6.2%) and Medicare (1.45%) withheld from wages; employers match it.

FICO vs VantageScore CREDIT
The two main credit-scoring models. Both commonly use a 300 to 850 range but weigh factors differently.

Fiduciary INVESTING
An adviser legally required to act in your best interest.

Filing status TAXES
Single, married filing jointly, married filing separately, head of household or qualifying surviving spouse.

Financial freedom PLANNING
Having choices: bills covered, no high-interest debt, a cushion, and money aimed at goals you care about.

Financial independence PLANNING
Investments and passive income cover your living costs.

FINRA PROTECTION
Self-regulatory organization for brokers; BrokerCheck shows an adviser's record.

FIRE RETIREMENT
Financial Independence, Retire Early: aggressive saving to retire well before 65.

Fixed expenses BUDGETING
Bills that stay the same each month: rent, car payment, insurance.

Fixed vs variable rate DEBT
A fixed rate stays the same; a variable rate moves with a benchmark rate.

Fixed-rate vs adjustable-rate mortgage (ARM) HOUSING
A fixed rate stays the same for the life of the loan; an ARM resets after an intro period.

Foreclosure HOUSING
The lender takes the property after missed payments.

Fraud alert CREDIT
Notice on your credit file telling lenders to verify your identity before opening credit.

FSA (flexible spending account) INSURANCE
Employer account for medical costs; 2026 limit $3,400; mostly use-it-or-lose-it.

FTC (Federal Trade Commission) PROTECTION
Collects fraud and identity-theft reports and builds recovery plans. ReportFraud.ftc.gov and IdentityTheft.gov. Americans reported about $16 billion in fraud losses in 2025.

Full emergency fund SAVING
3 to 6 months of essential expenses. Lean toward 6+ with irregular income or dependents.

G

Generational wealth PLANNING
Assets passed down to the next generation.

Grace period CREDIT
Time between the statement date and due date when no interest is charged if you paid in full.

Grant BUSINESS
Money that does not need to be repaid; competitive and usually for specific purposes.

Gross income BUDGETING
Pay before taxes and deductions.

Gross margin BUSINESS
(Revenue minus cost of goods sold) divided by revenue.

"Guaranteed returns" PROTECTION
A red flag in any investment pitch.

H

Hard inquiry CREDIT
A lender checks your credit for an application; may lower your score a few points for a while.

HDHP (high-deductible health plan) INSURANCE
Required to contribute to an HSA. 2026 minimum deductible: $1,700 self-only, $3,400 family.

HELOC HOUSING
Home equity line of credit; borrowing against your home equity.

High-yield savings account (HYSA) BANKING
Savings account, often at an online bank, that pays well above the national average rate.

HOA fees HOUSING
Homeowners association dues for shared property and rules.

Home equity HOUSING
Home value minus what you owe on it.

Homeowners insurance INSURANCE
Covers the house, belongings and liability; lenders require it. Floods and earthquakes need separate policies.

HSA (health savings account) RETIREMENT
Triple tax-advantaged account paired with a high-deductible health plan; 2026 limits $4,400 self-only, $8,750 family. Can double as retirement savings.

I

Identity theft PROTECTION
Someone uses your personal information to open accounts or file taxes.

Imposter scam PROTECTION
Someone pretends to be your bank, the government, a company or a loved one to get money. The most reported fraud type in 2025, with $3.5 billion lost.

In-network vs out-of-network INSURANCE
Providers with negotiated rates vs those without; out-of-network care costs more.

Income-driven repayment (IDR) DEBT
Federal student loan plans that set payments by income and family size (IBR, RAP; ICR and PAYE phase out by July 2028).

Index fund INVESTING
A fund that copies a market index (like the S&P 500) instead of picking stocks. Usually low cost.

Inflation BUDGETING
The general rise in prices over time; it shrinks what each dollar buys.

Installment credit CREDIT
Fixed payments over a set term: auto, student, mortgage and personal loans.

Interest rate DEBT
The yearly cost of borrowing, expressed as a percentage of the balance.

IRA (individual retirement account) RETIREMENT
Retirement account you open yourself at a brokerage or bank. 2026 limit: $7,500 (traditional and Roth combined).

Itemized deductions TAXES
Listing specific expenses (mortgage interest, state and local taxes, charity) instead of the standard deduction; use if larger.

L

Lease HOUSING
Rental contract covering term, rent, deposit and rules.

Lender Match BUSINESS
SBA tool that connects you with SBA-approved lenders.

Length of credit history (15%) CREDIT
FICO factor rewarding older accounts; keep old accounts open when practical.

Liabilities PLANNING
What you owe: credit cards, loans, mortgage.

Lifestyle creep BUDGETING
Spending rises as income rises, so savings never grow. Also called lifestyle inflation.

Line of credit BUSINESS
Revolving borrowing up to a limit for short-term needs.

Liquid vs illiquid assets PLANNING
Easy to turn into cash (savings) vs hard to turn into cash (a house).

Liquidity SAVING
How fast you can turn something into cash without losing value. Emergency money should be highly liquid.

LLC (limited liability company) BUSINESS
Separate legal entity that shields personal assets; a single-member LLC is taxed like a sole proprietorship by default.

Loan term DEBT
How long you have to repay (e.g., a 60-month auto loan). Longer term = lower payment, more total interest.

M

Marginal tax brackets TAXES
Each rate applies only to the slice of taxable income inside that bracket, so a raise never lowers take-home pay. 2026 rates: 10%, 12%, 22%, 24%, 32%, 35%, 37%.

Marginal tax rate TAXES
The rate on your last dollar earned.

Minimum balance BANKING
Amount you must keep to avoid a monthly fee or earn the advertised rate.

Minimum payment DEBT
Smallest amount due to stay current. Much of it can go to interest, so balances fall slowly.

Money leak BUDGETING
Small recurring costs that add up unnoticed: forgotten subscriptions, delivery fees, bank fees.

Money market account BANKING
Insured deposit account that pays interest and may allow limited checks. Not the same as a money market fund, which is an uninsured investment.

Mortgage HOUSING
A loan to buy property, secured by the property itself.

Mutual fund INVESTING
A pool of investor money buying many securities; priced once a day.

N

NCUA insurance BANKING
National Credit Union Administration share insurance; the credit-union equivalent of FDIC coverage, also $250,000 per member, per credit union, per ownership category.

Needs vs wants BUDGETING
Need: you would suffer without it (housing, food, transport, health). Want: everything else. Wants are fine; they just need limits.

Neobank (fintech) BANKING
App-based financial company; check that deposits are held at an FDIC-insured partner bank.

Net income (take-home pay) BUDGETING
What actually lands in your account after taxes, insurance and retirement deductions. Budget from this number.

Net worth PLANNING
Assets minus liabilities. Track it monthly; paying off debt raises it even when savings are small.

New credit (10%) CREDIT
FICO factor covering recent applications and newly opened accounts.

NSF (non-sufficient funds) BANKING
A payment is declined for lack of money, often with a fee.

O

OCC (Office of the Comptroller of the Currency) PROTECTION
Federal regulator that charters and supervises national banks.

Opportunity cost SAVING
What you give up by choosing one use of money over another.

Out-of-pocket maximum INSURANCE
The most you pay in a year for covered care; insurance pays 100% after that.

Overdraft BANKING
Spending more than your balance; the bank may cover it and charge a fee.

Overdraft protection BANKING
Links savings or a credit line to cover shortfalls, usually for a smaller fee.

Ownership category BANKING
Single, joint, retirement (IRA), trust and business accounts are each insured separately, so one person can be covered above $250,000 at one institution.

P

Partnership BUSINESS
Two or more owners sharing profits; needs a written agreement.

Passive income PLANNING
Money earned with little ongoing work: dividends, interest, rental income.

Pay yourself first BUDGETING
Move savings out on payday before spending anything else.

Payday loan DEBT
Very short, very expensive loan due on your next payday; APRs can exceed 300%.

Payment history (35%) CREDIT
The largest FICO factor. Pay every bill on time; one 30-day late payment can drop a score sharply.

Pension (defined benefit) RETIREMENT
Employer-promised monthly income in retirement; now rare in the private sector.

Personal guarantee BUSINESS
Promise to repay a business loan personally if the business cannot; common on SBA loans.

Personal loan DEBT
Unsecured installment loan with a fixed rate and term.

Phishing / smishing / vishing PROTECTION
Fake emails / texts / phone calls that steal logins or push payments.

PITI HOUSING
Principal, interest, taxes and insurance: the full monthly housing payment.

PMI (private mortgage insurance) HOUSING
Required on conventional loans with under 20% down; protects the lender, not you. Can usually be removed at 20% to 22% equity.

Points (discount points) HOUSING
Upfront fees paid to lower your mortgage interest rate.

Ponzi scheme PROTECTION
Fake investment that pays old investors with new investors' money.

Power of attorney PLANNING
Authorizes someone to act for you financially or medically if you cannot.

Pre-approval HOUSING
A lender's conditional offer showing how much you can borrow; makes offers stronger.

Premium INSURANCE
What you pay (monthly or yearly) to keep insurance coverage.

Principal DEBT
The amount borrowed, not counting interest.

Probate PLANNING
Court process to settle an estate without a trust or beneficiary designation.

Profit and loss statement (P&L) BUSINESS
Income statement: revenue minus expenses = net profit or loss.

R

Real return SAVING
Interest earned minus inflation; what your money actually gains in buying power.

Rebalancing INVESTING
Selling some winners and buying laggards to return to your target mix.

Refinancing DEBT
Replacing a loan with a new one with better terms.

Refundable credit TAXES
A credit that can pay you even if you owe no tax (e.g., the Earned Income Tax Credit).

Renters insurance INSURANCE
Covers your belongings and liability in a rental; often under $20 a month.

Repayment Assistance Plan (RAP) DEBT
New federal income-driven student loan plan launched July 1, 2026; the only income-driven option for loans or consolidations made on or after that date. Parent PLUS loans are not eligible.

Revenue vs profit BUSINESS
Revenue is all money in; profit is what is left after expenses.

Revolving credit CREDIT
Credit you can reuse up to a limit: credit cards, lines of credit.

Risk tolerance INVESTING
How much loss you can handle emotionally and financially.

RMD (required minimum distribution) RETIREMENT
Mandatory yearly withdrawals from pre-tax retirement accounts, currently starting at age 73.

Rollover RETIREMENT
Moving money from an old 401(k) to an IRA or new plan without taxes or penalties.

Romance and pig-butchering scams PROTECTION
Fake relationships that turn into fake crypto or investment platforms.

Roth (after-tax) account RETIREMENT
No deduction now; qualified withdrawals in retirement are tax-free. 2026 Roth IRA income phase-out: $153,000 to $168,000 single; $242,000 to $252,000 married filing jointly.

Routing number / account number BANKING
The routing number identifies the bank; the account number identifies you. Never show them on camera.

Rule of 72 INVESTING
72 divided by the annual return gives roughly the years to double. At 8%, money doubles in about 9 years.

S

S corporation BUSINESS
A tax election (Form 2553) that can reduce self-employment tax once profits are steady; requires payroll for the owner.

"Safe account" scam PROTECTION
A caller says your money is at risk and you must move it; real banks never ask this.

SAVE plan DEBT
Former income-driven student loan plan that has ended; enrolled borrowers must move to another plan.

Saver's Credit RETIREMENT
Tax credit for lower-income savers who contribute to retirement accounts.

Savings account BANKING
Holds money you do not spend day to day; pays interest.

Savings rate SAVING
Share of take-home pay you save each month.

SBA (Small Business Administration) BUSINESS
Federal agency that guarantees small-business loans and funds free counseling. sba.gov

SBA 504 loan BUSINESS
Long-term, fixed-rate financing for major assets like buildings and equipment, delivered through Certified Development Companies.

SBA 7(a) loan BUSINESS
SBA's main loan program, up to $5 million: working capital, equipment, real estate, refinancing, buying a business. You borrow from an SBA lender.

SBA 7(a) Working Capital Pilot BUSINESS
Monitored business line of credit up to $5 million, up to 60 months, for businesses with at least 1 year of operating history.

SBA disaster loan BUSINESS
Low-interest recovery loans for businesses, homeowners and renters after declared disasters.

SBA microloan BUSINESS
Loans of $50,000 or less for startups and small improvements, through nonprofit intermediary lenders.

SCORE / SBDC BUSINESS
Free SBA-funded mentoring (SCORE) and Small Business Development Centers.

SEC (Securities and Exchange Commission) PROTECTION
Federal regulator of investments and markets; runs Investor.gov.

Secured credit card CREDIT
Card backed by a cash deposit; a common first card for building credit.

Secured debt DEBT
Debt backed by collateral the lender can take (house, car).

Security deposit HOUSING
Refundable money held against damage or unpaid rent.

Self-employment tax TAXES
15.3% Social Security and Medicare tax on net self-employment earnings.

Short-term vs long-term goals SAVING
Under 3 years: keep money in savings or CDs. 5+ years: investing may fit.

Side hustle BUSINESS
Part-time income on top of a main job; legally a business as soon as it earns money, and its income is usually reported on 1099s.

SIMPLE IRA RETIREMENT
Small-employer retirement plan; 2026 limit $17,000 plus a $4,000 catch-up.

Sinking fund BUDGETING
Saving monthly for a known irregular cost (car repairs, gifts, annual subscriptions): yearly cost divided by 12.

SIPC INVESTING
Securities Investor Protection Corporation; protects brokerage customers up to $500,000 (including $250,000 cash) if the firm fails. Does not protect against market losses.

SMART goals PLANNING
Goals that are Specific, Measurable, Achievable, Relevant and Time-bound.

Social Security RETIREMENT
Federal retirement benefit based on your 35 highest-earning years; full retirement age is 67 for anyone born 1960 or later.

Soft inquiry CREDIT
Checking your own score or a pre-approval check; no score impact.

Sole proprietorship BUSINESS
Simplest business structure: you and the business are the same legal person. No filing needed, but no liability protection.

Solo 401(k) / SEP IRA RETIREMENT
Retirement plans for self-employed people and small business owners.

Spousal IRA RETIREMENT
Lets a working spouse fund an IRA for a non-working spouse.

Standard deduction TAXES
Flat amount every filer can subtract. 2026: $16,100 single, $32,200 married filing jointly, $24,150 head of household.

Starter emergency fund SAVING
A small first cushion, often around $1,000, built before attacking debt hard.

State attorney general PROTECTION
Handles local consumer complaints and scams.

State income tax TAXES
Varies by state; nine states do not tax wage income.

Statement balance vs current balance CREDIT
The statement balance is what you owed when the billing cycle closed; paying it in full avoids interest.

Stock (equity) INVESTING
A share of ownership in a company. Higher growth potential, higher risk.

T

Target-date fund INVESTING
A fund that shifts from stocks to bonds as a set retirement year approaches.

Tax refund TAXES
Getting back over-withheld tax. Not a bonus: it was your money all year.

Taxable income TAXES
AGI minus the standard or itemized deduction; tax brackets apply to this number.

Term life insurance INSURANCE
Pays a death benefit for a set term (10 to 30 years). Inexpensive; right for most people with dependents.

Thin file CREDIT
Too little credit history to generate a score.

Tiered Standard Repayment Plan DEBT
New fixed federal student loan plan from July 1, 2026; the other option (besides RAP) for new borrowers.

Time horizon INVESTING
How long until you need the money.

Traditional (pre-tax) account RETIREMENT
Contributions reduce taxable income now; withdrawals are taxed later.

Trust PLANNING
Legal arrangement holding assets for beneficiaries; can avoid probate.

Truth in Lending Act (TILA) PROTECTION
Requires clear disclosure of loan costs, including APR.

Two-factor authentication (2FA) PROTECTION
A second login step; use an authenticator app over text messages when possible.

U

U.S. Chamber of Commerce BUSINESS
Business organization representing more than 5 million small businesses; publishes small-business data, guides and the quarterly Small Business Index.

Umbrella policy INSURANCE
Extra liability coverage above your home and auto limits.

Underwriting INSURANCE
How insurers assess your risk to set price and eligibility.

Uninsured motorist coverage INSURANCE
Covers you if the at-fault driver has no or too little insurance.

Unsecured debt DEBT
Debt with no collateral: credit cards, most personal and student loans. Usually higher rates.

V

Variable expenses BUDGETING
Costs that change month to month: groceries, gas, entertainment.

Vesting RETIREMENT
How long you must work before employer contributions are fully yours.

Volatility INVESTING
How much and how fast prices swing.

W

W-2 TAXES
Year-end wage form from an employer; taxes already withheld.

W-4 TAXES
Form you give your employer to set how much tax is withheld from each paycheck.

Weekly money check-in BUDGETING
A 10 to 15 minute weekly review of balances, spending and your debt list. Small regular check-ins beat a once-a-year panic.

Whole (permanent) life insurance INSURANCE
Lifetime coverage plus a cash value; much more expensive than term.

Will PLANNING
Legal document directing who gets your assets and who cares for minor children.

Windfall SAVING
Unexpected money: a bonus, tax refund or gift. Decide the split before it lands.

Wire transfer BANKING
Fast, usually same-day transfer; often has a fee and is hard to reverse.

Withholding TAXES
Tax taken from each paycheck based on your W-4.

Working capital BUSINESS
Current assets minus current liabilities; the business's short-term cushion.

Z

Zero-based budget BUDGETING
Income minus planned spending (including savings and debt payments) equals zero. Every dollar gets a job.

Sources: SBA.gov; U.S. Chamber of Commerce; IRS 2026 inflation adjustments (Rev. Proc. 2025-32) and retirement limits; FDIC; NCUA; myFICO; FTC; CFPB; SEC Investor.gov; NYC DCWP student-loan summary. Full links are in The Complete Personal Finance Guide.